

3. Self-control bias can cause asset-allocation imbalance problems. For example, some investors may prefer income-producing assets, due to a “spend today” mentality. This behavior can be hazardous to long-term wealth because too many income-producing assets can inhibit a portfolio to keep up with inflation. Other investors might favor different asset classes, such as equities over bonds, simply because they like to take risks and can’t control their behavior.
4. Self-control bias can cause investors to lose sight of basic financial principles, such as compounding of interest, dollar cost averaging, and similar discipline behaviors that, if adhered to, can help create significant long-term wealth.

RESEARCH REVIEW

This research review examines two academic studies done by Professor Anamaria Lusardi, of Dartmouth College. In 2000, Lusardi wrote “Explaining Why So Many Households Do Not Save.”³ In 1999, she wrote “Information, Expectations, and Savings for Retirement.”⁴ Lusardi’s work examined household savings and asset-ownership behavior in an attempt to assess how differences in planning and saving across households are explained by various factors. In essence, the studies address whether *lack of planning* (which may be interpreted as lack of self-control) plays a key role in explaining differences in savings behavior. The analysis relies on data obtained from the Health and Retirement Study (HRS), a survey based on a sample of U.S. householders born between 1931 and 1941; and the triennial, Federal Reserve-sponsored Survey of Consumer Finances (SCF). Lusardi took two measures to gauge the extent of retirement planning.

1. Planning is measured by responses to the question “How much have you thought about retirement?” Responses, grouped at various income levels, are summarized in Table 19.1. Lusardi classified respondents as “planners” or “nonplanners” on the basis of their responses; those who have “hardly” thought about retirement are nonplanners, whereas those who have thought at least “a little” about retirement are planners.
2. Planning is measured via a “planning index.” The index is constructed by assigning “points” to respondents based on survey results. Points are awarded to reflect the extent to which a respondent claims to have